

# Aurora Ridge Holdings - Annual Report 2025

*Sample document. Aurora Ridge Holdings is a fictional company; all figures are invented for demonstration.*

## **Section 1. Letter to Shareholders**

Fiscal year 2025 was a year of disciplined growth for Aurora Ridge Holdings. We expanded our logistics software platform into three new European markets, completed the integration of the Baltic warehousing business acquired in 2024, and continued to invest in automation across our fulfilment network.

The Board proposes a final dividend of USD 0.42 per share, bringing the total dividend for the year to USD 0.78 per share, an increase of 11 percent compared with 2024. We remain committed to a progressive dividend policy supported by strong free cash flow generation.

Our priorities for 2026 are to deepen relationships with enterprise customers, keep capital expenditure within guidance, and reduce the carbon intensity of our operations in line with the targets set out in our sustainability framework.

We thank our 6,400 employees across eleven countries for their commitment during a year of significant change, and our customers and shareholders for their continued trust.

## Section 2. Financial Highlights

Total revenue for fiscal year 2025 reached USD 1,284 million, up 14.6 percent from USD 1,120 million in 2024. Subscription revenue from the software segment grew 27 percent to USD 412 million and now represents 32 percent of group revenue.

Operating profit (EBIT) increased to USD 187 million, compared with USD 151 million in the prior year. The operating margin improved from 13.5 percent to 14.6 percent, driven by higher software mix and lower freight costs in the second half.

Net profit attributable to shareholders was USD 132 million, an increase of 19 percent year on year. Diluted earnings per share rose to USD 1.86 from USD 1.57.

Adjusted EBITDA reached USD 262 million, up from USD 221 million in 2024. The logistics segment contributed USD 872 million of revenue, broadly flat on a like-for-like basis, while the Baltic acquisition added USD 41 million.

### **Section 3. Cash Flow and Balance Sheet**

Net cash generated from operating activities was USD 241 million. Capital expenditure totalled USD 96 million, of which USD 58 million was invested in warehouse automation and USD 38 million in software development.

Free cash flow for the year amounted to USD 145 million. Net debt decreased from USD 318 million to USD 236 million, and the net debt to EBITDA ratio improved from 1.4x to 0.9x at year end.

The group maintains an undrawn revolving credit facility of USD 250 million maturing in 2029, providing ample liquidity for planned investments.

Cash and cash equivalents at year end were USD 174 million. Trade receivables days improved from 52 to 47 as a result of the new automated invoicing process, releasing approximately USD 18 million of working capital.

## **Section 4. Risk Factors**

Our results are exposed to fluctuations in fuel prices and freight rates, which affect the cost base of the logistics segment. A 10 percent increase in average fuel prices would reduce annual EBIT by approximately USD 9 million.

Approximately 38 percent of revenue is denominated in currencies other than the US dollar, mainly the euro and the British pound. The group hedges up to 70 percent of forecast foreign currency cash flows for the next twelve months.

Cybersecurity remains a principal risk given the growth of the software segment. In 2025 we completed ISO 27001 recertification and introduced mandatory phishing simulation training for all employees.

Regulatory changes in EU customs procedures could increase administrative costs for cross-border shipments. We are monitoring the rollout of the new customs data hub and have budgeted USD 4 million for compliance work in 2026.

## **Section 5. Outlook for 2026**

Management expects revenue growth of 9 to 12 percent in fiscal year 2026, with software subscription revenue growing faster than the group average. The operating margin is expected to be between 15 and 16 percent.

Capital expenditure is guided at USD 100 to 110 million, with continued investment in automation at the Rotterdam and Gdansk hubs. The group does not plan any major acquisitions in 2026 and will prioritise organic growth and debt reduction.

The Board targets a net debt to EBITDA ratio below 1.0x throughout 2026 and intends to maintain a dividend payout ratio of 40 to 45 percent of net profit. Key uncertainties include freight market volatility, wage inflation in warehouse operations and the pace of enterprise software adoption among mid-sized retailers.